

Global and Local Payment Systems

A Case Study

BSc. CSIT 6th Semester

INTRODUCTION

Payment systems play a crucial role in modern digital economies by enabling secure, fast, and reliable financial transactions. With the growth of e-commerce, online banking, and mobile technology, both **global and local payment systems** have become essential. This case study analyzes how global payment systems operate alongside local payment systems, focusing on their usage in **Nepal**.

PROBLEM STATEMENT

Despite rapid growth in digital transactions, users in Nepal face challenges in choosing between **global and local payment systems**. Global systems provide international access but involve high fees and limited availability, while local systems are affordable and fast but lack global acceptance. There is a need to analyze how both systems function, their accessibility, user experience, and overall effectiveness in Nepal's digital economy.

OBJECTIVES

The main objectives of this case study are:

1. To study global and local payment systems used in Nepal
2. To compare accessibility and usability of both systems
3. To analyze user experience and transaction efficiency
4. To identify key challenges faced by users
5. To provide recommendations for improvement

METHODOLOGY

This case study is based on:

- Secondary data from articles, reports, and official payment service websites
- Observation of real-life usage of payment systems in Nepal
- Comparative analysis of global and local payment platforms
- Review of digital payment practices among students, freelancers, and businesses

FINDINGS

Accessibility:

- **Local payment systems** like eSewa, Khalti, and ConnectIPS are easily accessible with a Nepali bank account and mobile number.
- **Global payment systems** such as Visa and PayPal require international cards and additional verification, making them less accessible to the general population.
- Rural users have better access to local payment platforms than global ones.

User Experience:

Local systems provide **simple interfaces**, Nepali language support, and quick transactions.

Global systems offer **high security** and international reach but are complex for first-time users.

Transaction speed is faster in local systems for domestic payments.

ANALYSIS

Local payment systems dominate daily transactions such as bill payments, mobile recharge, and online shopping within Nepal.

Global payment systems are essential for international trade, freelancing, and tourism.

Both systems complement each other rather than compete directly.

Security standards are higher in global systems, while convenience is higher in local systems.

RECOMMENDATION

1. Local payment providers should expand international payment support.
2. Global payment services should reduce transaction fees for developing countries.
3. Awareness programs should be conducted to educate users on digital security.
4. Government and NRB should encourage interoperability between payment platforms.
5. Improved infrastructure is needed to support rural digital payments.

CONCLUSION

Global and local payment systems both play vital roles in Nepal's digital economy. Local systems ensure affordable and fast domestic transactions, while global systems enable international financial connectivity. A balanced integration of both systems will support economic growth, digital inclusion, and a cashless future for Nepal.

REFERENCES

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- **Visa – How Digital Payments Work**
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